1275 W Sunset

Executive Summary

1275 W Sunset: Echo Park Workforce Housing - Entitled

Visionary Development Enterprises presents an opportunity to invest in 1275 W Sunset, a strategically positioned affordable housing development with the addition of a retail component.

This 163-unit community represents a forward-thinking affordable housing asset in one of Los Angeles' most rapidly gentrifying neighborhoods. The project targets workforce families seeking quality housing at 80% AMI levels in Echo Park's coveted location.

The project is fully entitled, with the development team, consultants, and construction partners fully coordinated. With pre-development planning near complete, the project is just months away from becoming shovel-ready, positioning it for an efficient transition into construction and timely delivery of workforce housing in Echo Park.

Investment Highlights

ED1 Accelerated Development Program

Opportunity to develop institutional-quality affordable housing utilizing Mayor Bass's expedited entitlement process at significant cost savings (~$50K/unit efficiency).

Echo Park Market

Strategically positioned in culturally rich, transit-accessible neighborhood with established community amenities and proximity to downtown employment centers.

Proven Development Economics

Demonstrated ability to deliver affordable housing projects at cost basis with established contractor and nonprofit partnerships.

Sustainable Affordability Model

Ability to provide residents 30-40% savings compared to market-rate alternatives, ensuring long-term cash flow stability through high demand while also providing community relief.

$18M	28.3%	2.31x	6.9%
Projected Equity Requirement	*Target Levered IRR*	*Target Levered Equity Multiple*	*Target Yield on Cost*

Visionary's concentrated Echo Park development approach creates multiple value drivers through operational scale and market expertise. The investment combines stable affordable housing cash flows with accelerated returns from entitlement value creation, strategic land banking, and portfolio-level efficiencies across management and leasing operations.

Project Highlights 1275 W Sunset

Innovative Affordable Housing Development

The 163-unit luxury affordable community is being developed as part of Visionary's concentrated Echo Park portfolio, reconfirming the firm's ability to navigate complex entitlement processes while delivering premium residential units in a highly desirable location.

$51.5M	$67.7M	5 Year	65%
Total Projected Cost	*Projected Exit Value*	*Projected Hold Period*	*Target LTC*

Project Highlights

ACQUISITION STRATEGY

Off-market acquisition secured through deep local broker networks and community relationships. Strategic site selection prioritizes transit accessibility, walkable amenities, and proximity to major employment hubs to maximize resident quality of life and long-term asset value.

DEVELOPMENT EXECUTION

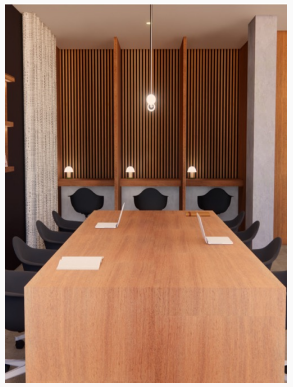
Integrated project delivery model combining award-winning architecture, experienced construction management, and proven general contracting partners. Streamlined coordination reduces timeline risk while maintaining institutional-grade build quality and design innovation.

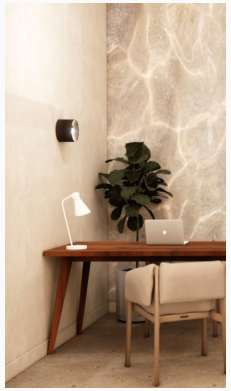
LOCATION AMENITIES

Positioned on Sunset Blvd with direct access to transit, local markets, cafés, restaurants, and Dodger Stadium. The location provides residents with convenient access to a wide range of neighborhood amenities.

LOCAL MARKET

Transit-oriented location with direct Red Line access to downtown LA and established creative economy. Growing professional population and limited affordable housing supply create sustainable demand from essential workers and emerging talent.





Project Thesis

Regulatory Tailwinds

ED1 program eliminates traditional zoning constraints and expedites approvals by 18+ months. First-mover advantage in underutilized regulatory framework with limited developer competition in affordable housing space.

Market Dislocation Opportunity

Echo Park gentrification has priced out workforce residents while creating premium location value. Affordable housing restrictions capture upside while serving displaced community members at sustainable rents.

Scalable Platform Strategy

Concentrated geography enables shared infrastructure, bulk purchasing power, and operational synergies across property management, maintenance, and resident services for enhanced margins.

STRONG RENTAL DEMAND

8%
Market Rent Growth

30-40%
Below Market Pricing

QUALITY ASSETS

163
Total Units

$303k
Per Unit Development Cost

Irreplaceable Location

Echo Park's transit connectivity and cultural amenities create sustainable tenant demand while gentrification limits future affordable development sites. Regulatory protections lock in below-market rents with built-in appreciation upside.

Submarket Map

Current Projects

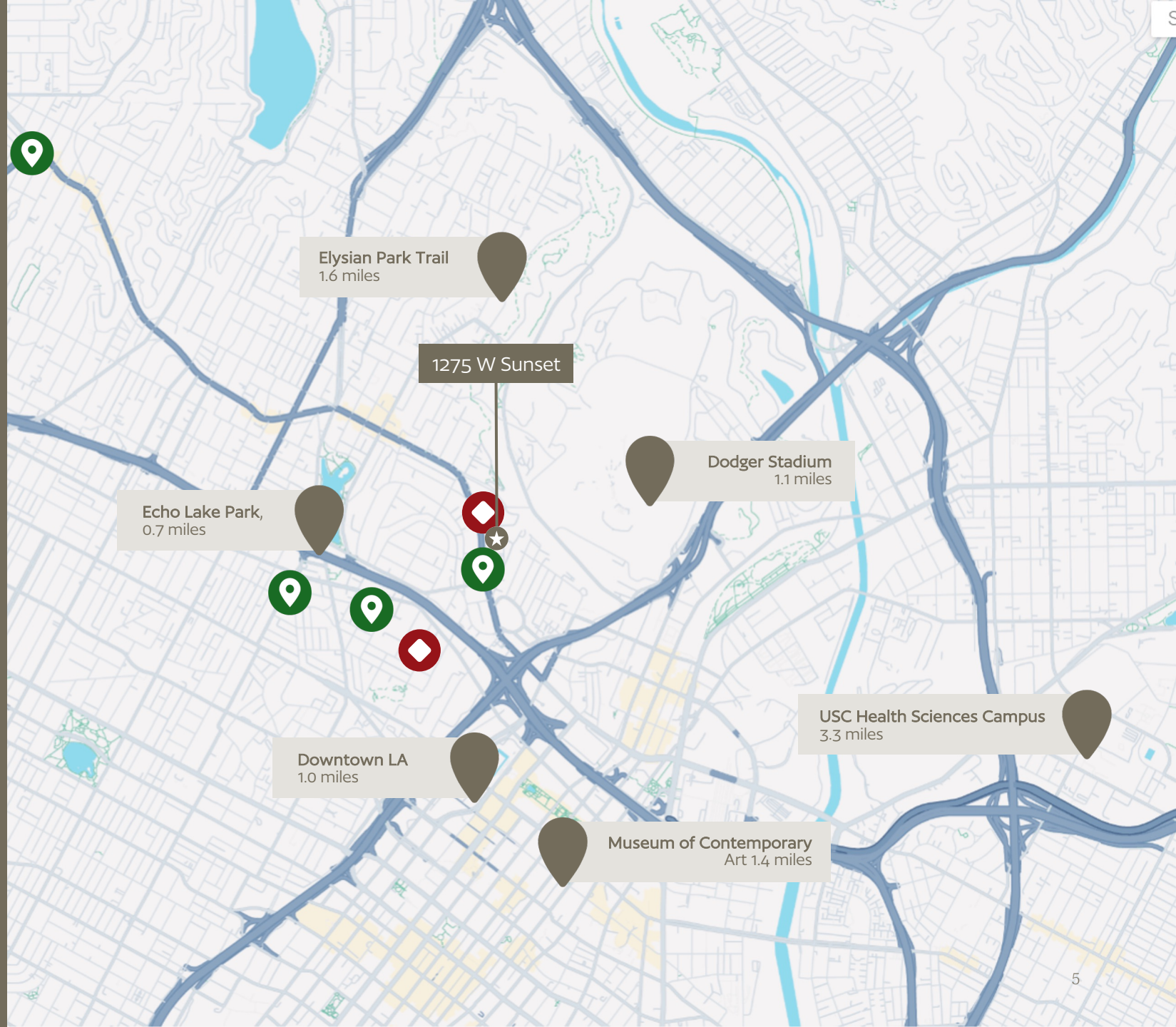
- 1540 W. Court, Echo Park, CA
- 333 Douglas St, Echo Park, CA
- 1230 W. Sunset, Echo Park, CA
- 4537-4545 Santa Monica Blvd, East Hollywood, CA

Pipeline Projects

- 1275 W. Sunset, Echo Park, CA
- 338 Douglas St, Echo Park, CA

Key Geographic Strategy

- Echo Park Core: 4 of 5 major projects clustered within 1-mile radius
- Strategic Proximity: 1275 W Sunset located directly across from 1540 W. Court
- Submarket Expertise: Concentrated development approach in rapidly gentrifying Echo Park neighborhood
- Transit Access: All Echo Park projects within walking distance of Metro lines and downtown LA employment centers
- Neighborhood Landmarks: Projects positioned near Echo Park Lake, Dodger Stadium, and cultural amenities Portfolio



Project Summary

Rent Roll Summary						
	Unit #	Unit %	Avrg. RSF	Total RSF	$/Unit	$/SF
Studio	67	41%	365 SF	3,650 SF	$2,082	$5.70
1BR	91	56%	425 SF	127,075 SF	2,359	5.55
2BR	5	3%	550 SF	35,200 SF	2,640	4.80
Total	**163**	**100.0%**	**445 SF**	**165,925 SF**	**$2,400**	**$5.40**

Exit Assumptions	
FTM NOI - Tax Adjusted	$3,566,748
Cap Rate	5.5%
Implied Valuation (Gross)	$67,725,859
Disposition Costs (4%)	$2,709,074
Implied Valuation (Net of Disposition Fee)	**$65,071,784**

Project Timeline

DATE		DURATION
05/31/2026	Acquisition	6 months
11/01/2026	Construction	24 months
11/01/2028	Lease-Up	12 months
10/31/2029	Stabilization	18 months
06/30/2031	Exit	

Total Project Duration
60 months

Strategic Partners

Key Project Partners

Boutique construction management firm with 70+ years combined principal experience, delivering over 12,000 multifamily residential units across California's affordable housing market.

Provides comprehensive construction management from inception to lease-up, utilizing historical cost databases and proven scheduling expertise for accelerated project delivery.

Los Angeles-based 501(c)(3) nonprofit established March 2024, specializing in affordable housing partnerships and equitable connections to housing opportunities for low-income families.

Delivers direct pipeline to qualified voucher holders with extensive waiting lists, ensuring rapid lease-up and sustained occupancy for affordable housing projects.

General Contractor - Construction Manager

Southern California general contractor with 30+ years experience, completed 6,000+ units in past decade, specializing in affordable housing with zero safety violations.

Offers innovative construction techniques including off-site panelization for affordable housing, reducing overall schedule and providing significant cost savings for owners.

Award-winning national 501(c)(3) nonprofit founded 2012, managing 12,000+ housing units across 6 states through 60+ affordable housing communities nationwide.

Enables 80% property tax reduction through nonprofit Managing General Partner structure while ensuring regulatory compliance and accessing competitive government financing programs.

National multifamily property management leader providing comprehensive asset management services with extensive affordable housing portfolio experience and proven operational excellence.

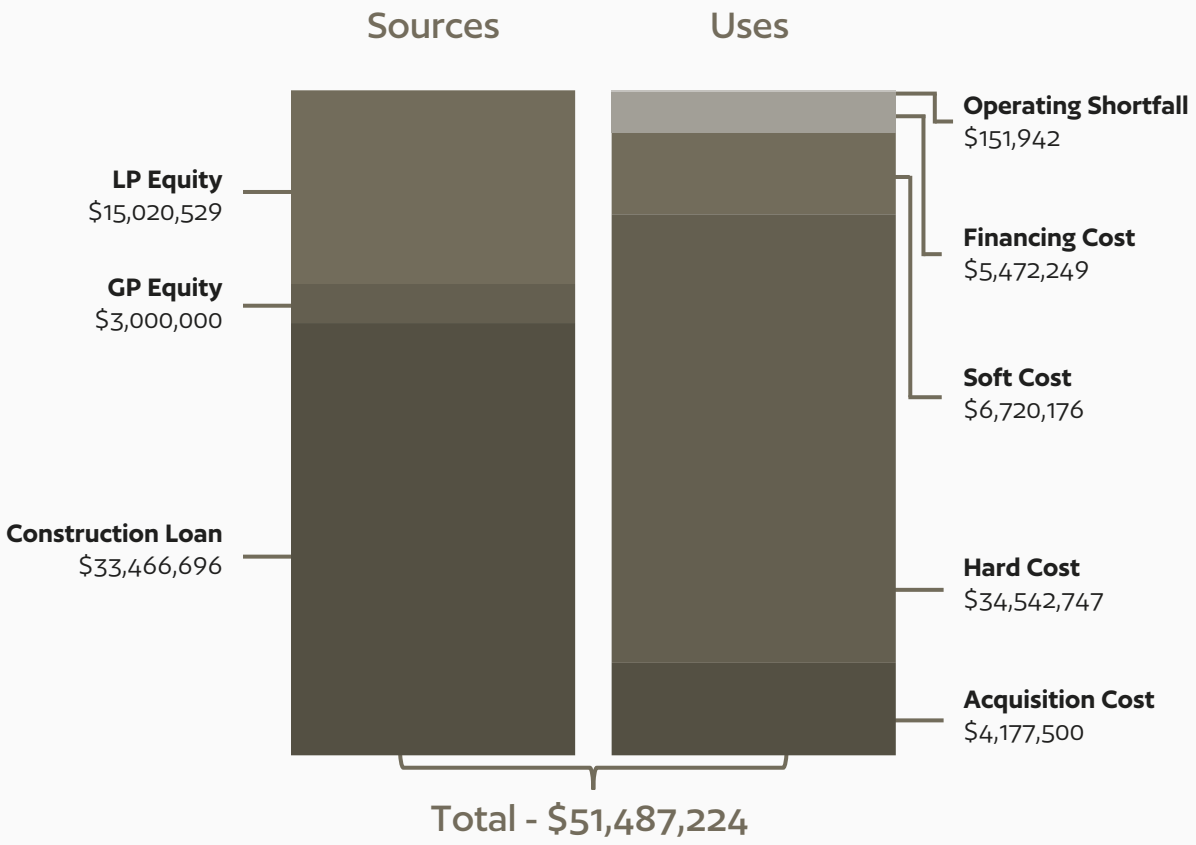
Provides institutional-quality property management with third-party operational expertise, transparent accounting, and proven asset optimization for sustained portfolio performance.

Los Angeles architectural design studio founded by Kevin Tsai, prioritizing design integrity over trends, creating timeless spaces through multidisciplinary collaboration and innovation.

Creates distinctive, forward-thinking affordable housing designs that maximize livability while maintaining aesthetic excellence, enhancing resident experience and community value.

Sources & Uses

Visionary Development Enterprises has structured the 1275 W Sunset through a dedicated special purpose vehicle (SPV). The investment utilizes Visionary's established equity contribution model, with Limited Partners contributing 83% of required equity and General Partners contributing 17%. This 65% leverage structure positions the asset for strong risk-adjusted returns while maintaining conservative debt levels.



Leasing Assumptions (Multifamily)	
Units	163
Average Rental Rates	$2,400 /Unit
Average Unit Size	445 SF

Construction Loan Terms	
Target Loan-to-cost	65.0%
Interest Rate	7.10%
Rate Type	Fixed
Origination Fee	1.00%

Return Terms	
Project IRR	28.3%
Project MOIC	2.31x
Preferred Return	9.0%
LP IRR	24.3%
LP MOIC	2.13x

1275 W Sunset Projected Proforma

Operating Inputs (Untrended Vs. Trended YoC)		
	***Untrended**	****Trended**
Gross Potential Market Rent	$ 4,426,668	$ 4,927,511
Loss/Gain to Lease	-	-
Gross Potential Rent	$ 4,426,668	$ 4,927,511
Rent Adjustments		
Vacancy Loss	(221,333)	(246,376)
Model / Down Unit	-	-
Concessions	-	-
Bad Debt Expense	(88,533)	(98,550)
Net Rental Income	$ 4,116,801	$ 4,582,585
Add: Other Income		
Other Income - RUBS	$ -	$ -
Other Income *(Vacancy Adjusted)*	71,112	78,964
Effective Gross Income	$ 4,187,914	$ 4,661,549
Controllable Expenses		
Payroll	$ 220,050	$ 236,041
Advertising	28,525	30,598
G&A	52,975	56,825
Legal & Professional Fees	-	-
Utilities (Water, Sewer, Electric, Trash)	154,850	166,103
HOM + CFMA	32,600	34,969
Security	-	-
Turnover	54,198	58,136
Contract Services	25,860	27,739
Repair and Maintenance	92,910	99,662
Total Controllable Expenses	$ 661,967	$ 710,072
Uncontrollable Expenses		
Property Tax	$ -	$ -
Insurance	117,360	125,889
Management Fee	125,637	139,846
Total Uncontrollable Expenses	$ 242,997	$ 265,735
Total Operating Expenses	$ 904,965	$ 975,807
Net Operating Income (Multi Only)	$ 3,282,949	$ 3,685,741
% Margin	*78%*	*79%*
Add: Retail NOI	78,873	78,873
Net Operating Income (Project)	$ 3,361,822	$ 3,764,614
Less: Replacement Reserves	*40,750*	*43,711*
Net Operating Income (Post Reserves)	$ 3,321,072	$ 3,720,903
Untrended / Trended YoC (Before Reserves)	**6.93%**	**7.76%**
Untrended / Trended YoC (After Reserves)	**6.85%**	**7.67%**

*Untrended is based on average parameters according to financial model
**Trended is at projected stabilization date 04/30/2028

1275 Projected Cashflow

CASH FLOW	Total	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Cash Flow (Residential)							
Gross Potential Market Rent	$ 46,523,553	$ -	$ -	$ -	$ 2,819,227	$ 4,910,430	$ 5,062,850
Loss/Gain to Lease	-	-	-	-	-	-	-
Gross Potential Rent	**$ 46,523,553**	**$ -**	**$ -**	**$ -**	**$ 2,819,227**	**$ 4,910,430**	**$ 5,062,850**
Rent Adjustments							
Vacancy Loss	$ (2,165,260)	$ -	$ -	$ -	$ -	$ (225,565)	$ (253,142)
Bad Debt Expense	(930,471)	-	-	-	(56,385)	(98,209)	(101,257)
Net Rental Income	**$ 43,427,822**	**$ -**	**$ -**	**$ -**	**$ 2,762,843**	**$ 4,586,656**	**$ 4,708,450**
Other Income	747,999	-	-	-	47,556	78,769	81,132
Effective Gross Income	**$ 44,175,821**	**$ -**	**$ -**	**$ -**	**$ 2,810,399**	**$ 4,665,426**	**$ 4,789,583**
Controllable Expenses							
Total Controllable Expenses	**$ 6,701,276**	**$ -**	**$ -**	**$ 52,160**	**$ 564,636**	**$ 708,902**	**$ 723,080**
Uncontrollable Expenses							
Property Tax	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Insurance	1,201,932	-	-	-	123,217	125,681	128,195
Management Fee	1,325,275	-	-	-	84,312	139,963	143,687
Total Uncontrollable Expenses	**$ 2,527,207**	**$ -**	**$ -**	**$ -**	**$ 207,529**	**$ 265,644**	**$ 271,882**
Total Operating Expenses	**$ 9,228,483**	**$ -**	**$ -**	**$ 52,160**	**$ 772,165**	**$ 974,545**	**$ 994,962**
Net Operating Income (Multi)	**$ 34,947,338**	**$ -**	**$ -**	**$ (52,160)**	**$ 2,038,234**	**$ 3,690,880**	**$ 3,794,621**
% Margin	*79.1%*	–	–	–	*72.5%*	*79.1%*	*79.2%*
Retail NOI							
Net Operating Income (Multi + Retail)	**$ 34,947,338**	**$ -**	**$ -**	**$ (52,160)**	**$ 2,038,234**	**$ 3,690,880**	**$ 3,794,621**
Replacement Reserves	(417,338)	-	-	-	(42,784)	(43,639)	(44,512)
Less: Asset Management Fee	-	-	-	-	-	-	-
NOI Less Management Fee	**$ 34,530,001**	**$ -**	**$ -**	**$ (52,160)**	**$ 1,995,451**	**$ 3,647,241**	**$ 3,750,109**
Adjusted NOI (Post Reserves)	**$ 34,530,001**	**$ -**	**$ -**	**$ (52,160)**	**$ 1,995,451**	**$ 3,647,241**	**$ 3,750,109**

1275 W Sunset Projected Cashflow

RETURNS	Total	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Unlevered Cash Flow							
Acquisition Costs	$ (4,177,500)	$ (4,177,500)	$ -	$ -	$ -	$ -	$ -
Hard Costs	(34,542,747)	-	(21,972,496)	(12,570,252)	-	-	-
Soft Costs	(6,772,336)	(3,261,989)	(2,131,147)	(1,379,200)	-	-	-
Equity Placement Fee	-	-	-	-	-	-	-
NOI (Net of AM Fee)	3,566,748	-	-	(52,160)	2,071,836	1,547,072	-
Reversion (Net)	66,332,171	-	-	-	-	66,332,171	-
Total Unlevered Cash Flow	**$ 24,406,335**	**$ (7,439,489)**	**$ (24,103,643)**	**$ (14,001,611)**	**$ 2,071,836**	**$ 67,879,242**	**$ -**
IRR	**17.38%**						
MOIC	**1.54x**						
Peak Equity	**$ (45,544,743)**						
Profit	**$ 24,406,335**						
Total Levered Cash Flow	**$ 19,047,107**	**$ (7,689,489)**	**$ (7,331,040)**	**$ (0)**	**$ 395,588**	**$ 33,672,048**	
IRR	**28.33%**						
MOIC	**2.27x**						
Peak Equity	**$ (15,020,529)**						
Total Distributions	**$ 34,067,636**						
Profit	**$ 19,047,107**						

Visionary
Developments

Workforce Housing

Los Angeles, CA

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